contents of the trade and higher permanent impact costs. This was consistent with the findings in the other emerging markets and Latin America.

The parameters of the model for our analysis and trading costs estimates for 2011 are provided in Table 12.2a. Investors interested in current trading costs by global region and country are referred to www.KissellResearch.com (see I−Star Global Cost Index Quarterly Report and Country Trading Cost Analysis).

Multi-Asset Classes

The second part of this analysis consisted of evaluating trading costs across multi-asset classes. Our asset classes consisted of US Large Cap Stocks (US-LC), US Small Cap Stocks (US-SC), liquid and illiquid Exchange Traded Funds (ETFs), Futures, Government and Corporate Bonds, Commodities, and Exchange Rates (FX). In this analysis, we computed the trading cost for a trade value of $10 million USD executed via a strategy of POV = 10%. This was used in place of a constant order size (% ADV) which is more commonly used in the equity markets because transaction values can vary dramatically across asset classes. In our multi-asset trading cost analysis, we also placed boundaries on some of the model parameters in order to make fair comparisons of costs across different asset classes. Portfolio managers and analysts can achieve improvements in the models forecasting accuracy by allowing more freedom on the values of the parameters and eliminating the constraints using the parameter estimation phase. Our first goal, however, was to uncover an appropriate market impact model, determine the cost structure surrounding trading costs in the different asset classes, and for evaluation and comparison to the global equity markets. Further research is suggested to determine appropriate bounds on the underlying model parameters.

Why do trading costs vary across asset classes?

Our analysis found that trading costs vary across asset classes for several reasons. These include: 1) Investment Objective, 2) Trading Liquidity, and 3) Competition.

Definitions. There are many reasons why investors will select to transact different instruments. For example, the most common investment objectives include: 1) buy and hold investing, 2) risk hedging, 3) speculation, and 4) price arbitrage opportunities.

Trading Liquidity includes: 1) trade volume, 2) shadow liquidity, 3) mispricing liquidity, and 4) factor exposure liquidity. Each is described as follows. Trade volume across the asset classes is a very general term